which satisfy both material and spiritual needs of mankind will prosper."[7]

The May 1959 Agrarian Reform, which restricted the size of farms to 3,333 acres, brought the conflict between the Cuban government's goals and the interests of U.S. investors to a head. Land in excess of this size would be expropriated and compensated with 20-year government bonds; the value of the land would be determined by the value that the owners had declared for tax purposes.[8] Many of the properties affected belonged to U.S. individuals or companies.

"I believed both countries would have profited if the Cuban government had given the concerned Americans in Cuba a hearing before decisions were reached on such an important matter," Ambassador Bonsal protested weakly.[9] The State Department concurred that "agrarian reform law causing great consternation in U.S. Government and American sugar circles."[10] Thirty of the 34 U.S.-owned sugar mills sent representatives to meet with the U.S. Ambassador the following day, protesting that their businesses would be severely affected by the reform.[11]

U.S. officials attempted to work with "moderate forces in Cuba which are supporting U.S. efforts to obtain ameliorations of the provisions of the land reform bill which are detrimental to U.S. interests."[12] Bonsal reiterated U.S. interests in repeated meetings with Cuban officials in May and June of 1959: the fear that Cuban sugar exports might decline, leaving the U.S. market undersupplied; and the concern that U.S. property-holders in Cuba be adequately compensated. "I outlined American belief in private enterprise as basis for economic development … I stressed constructive role of American companies in Cuban economy" Bonsal reported.[13]

The Cubans, however, insisted on their right to determine their own national priorities. "Transforming the system of landholding … is the indispensable prerequisite in every underdeveloped country for its industrial, political, social, and cultural progress," the Minister of State told Bonsal. "Unless large-scale landholding is abolished," he continued,